Global Data Watch: Asia

EMAX resilience drives more hawkishness

Emerging Markets Asia, Economic and Policy Research

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EMAX resilience to energy shock prompts more central bank hawkishness

Asia was always feared to be the region most susceptible to shortages from a prolonged closure of the Strait of Hormuz given its dependence on the region. However, the worst fears have not materialized because the region -- outside of China -- has been able to source imports from other areas. Daily tanker import volumes reveal that May imports of energy in EMAX and India, for example, are rapidly approaching normal levels. Enhanced procurement has been complemented by the running down of national energy reserves and the move to other fuel sources (coal, biofuel) to buffer the hit on activity. These dynamics, in conjunction with continued strong tech momentum – reinforced by this week's April IP prints in the region – alongside fiscal policy supports in some economies, has meant the hit to activity from the energy shock, while visible, is less potent than had been initially feared. But resilience has come at a price, with inflation pressures continuing to build in the region reflected in surging input and output prices in the April PMIs. With growth holding up, central banks have turned their attention to inflation and have become progressively hawkish.

The BSP and Bank of Indonesia have already hiked in recent weeks though for different reasons (the former because of an inflation shock, the latter because FX has come under pressure) and this week the Bank of Korea joined the camp of hawks. While the BoK kept rates on hold, as we had expected, it delivered a strongly hawkish message, signaling a faster and more robust hiking cycle than previously anticipated. The central bank's forward guidance now points to a rate hike as early as July with additional increases likely through next year. This shift is driven by Korea's sustained growth momentum, particularly from the tech sector, and a growing concern that this strength will spill over into demand side-inflation pressures. We therefore now pencil in four 25 bps hikes over the next year (compared to our previous forecast of 50 bps through the end of 2027), with the first hike in July itself.

In contrast, one central bank that is expected to remain patient is India's Reserve Bank of India. Even as markets price in multiple hikes, our longstanding view is that the bar for hikes in India is high. This week, the Governor reiterated the RBI will only react if energy pressures spill into core inflation, and with core very benign at the moment we expect the RBI to remain comfortably on hold at next week's review.

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See page 26 for analyst certification and important disclosures.

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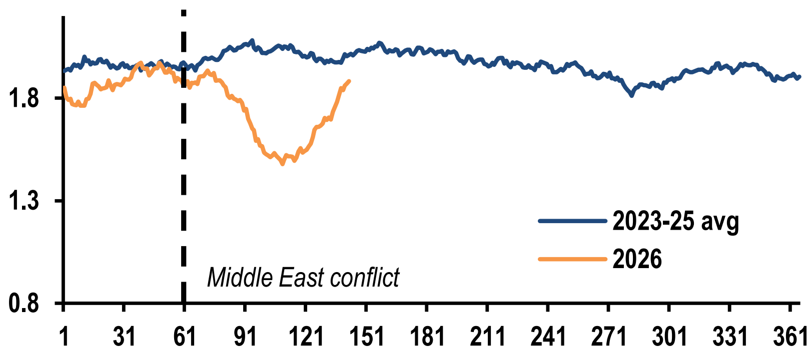
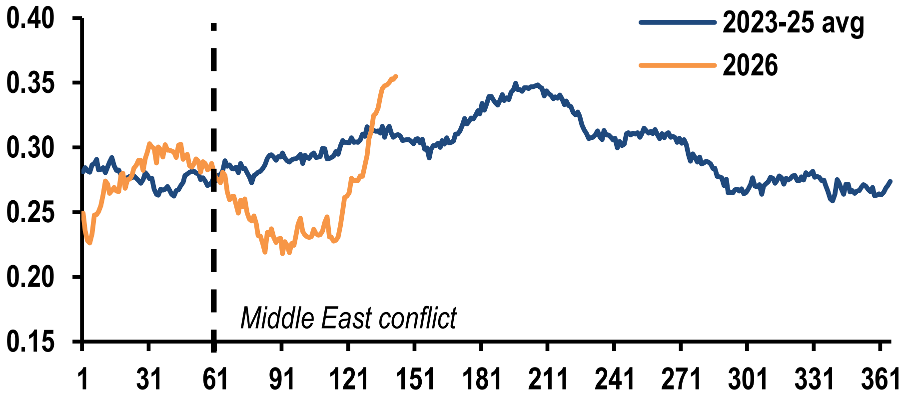
Figure 1: EMAX tanker imports
Millions of metric tons, 28dma



Source: IMF Portwatch, J.P. Morgan.

Figure 2: India tanker imports
Millions of metric tons, 28dma



Source: IMF Portwatch, J.P. Morgan

China: May PMIs to test near-term resilience

The Middle East conflict and energy shocks weighed on China's production and domestic demand in April, raising questions about the economy's resilience. Oil supply disruptions pushed processed oil and petrochemical output into contraction, partly reflecting the difficulties that small refiners face to switch suppliers and weaker incentives for SOE refiners to ramp up production amidst the export ban. Alternative indicators suggest processed crude output may have contracted further in May. Meanwhile, higher coke-oven operating rates point to increased oil-to-coal switching, partially offsetting the drag.

April's activity softness also appears to be associated with some scaling back of fiscal support and greater policy patience (relative to subsidy rollouts in some regional peers). General budget expenditure slipped into contraction, driven by weaker infrastructure outlays despite decent revenue growth. After three months of drawdowns, fiscal deposits jumped in April by more than typical seasonality, helping to explain the recent investment slide. All told, fiscal support has been less frontloaded than we had initially envisaged with the implication that the expected payback in the second half will also be less acute than feared.

Meanwhile, exports remained resilient in April and did the heavy lifting: a stronger-than-expected April rebound offset domestic weakness, though recent tailwinds appear increasingly concentrated in less labor-intensive categories such as memory ICs, EVs, solar,

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and batteries. Port trackers show slower month-on-month outbound container and bulk deadweight tonnage, pointing to a partial cooling. Taken together, for next week's May PMIs, we expect a modest dip to 50.1 for NBS manufacturing (vs. 50.3 in April) and 51.0 for RatingDog (vs. 52.2 in April).

Table 1: EM Asia data release

Date	Market	Data	Period	Unit	JPM	Consensus	Previous
Mon, 01-Jun	TW	PMI mfg.	May	Index	53.0	-	55.3
	KR	Trade balance	May	US$bn	23.0	24.5	23.8
	KR	Exports	May	%oya	50.1	48.4	48.0
	KR	Imports	May	%oya	25.2	21.9	16.7
	KR	PMI mfg.	May	Index	53.5	-	53.6
	CN	PMI mfg. (RatingDog)	May	Index	51.0	51.3	52.2
	IN	PMI mfg.	May	Index	-	-	54.3
	IN	IP	Apr	%oya	4.0	3.8	4.1
Tue, 02-Jun	KR	CPI	May	%oya	3.0	2.9	2.6
	ID	Trade balance	Apr	US$bn	1.4	0.2	3.3
	ID	Exports	Apr	%oya	3.2	10.2	-3.1
	ID	Imports	Apr	%oya	-2.7	9.0	1.5
	ID	CPI	May	%oya	2.7	2.9	2.4
	HK	Retail sales	Apr	%oya	9.4	-	9.8
	SG	PMI	May	Index	50.9	-	50.7
Wed, 03-Jun	HK	PMI	May	Index	50.3	-	48.6
Thu, 04-Jun							
Fri, 05-Jun	KR	Current account balance	May	US$bn	29.0	-	37.3
	PH	CPI	May	%oya	6.8	8.0	7.2
	IN	RBI monetary policy meeting	Jun	%p.a.	5.25	5.25	5.25
	IN	GDP	1Q	%oya	7.5	7.0	7.8
	TH	CPI	May	%oya	2.7	3.2	2.9
	TW	CPI	May	%oya	2.1	2.2	1.7
During the week							
Sun, 31-May	CN	PMI mfg. (NBS)	May	US$bn	50.1	50.0	50.3

Source: Bloomberg Finance L.P. and J.P. Morgan forecasts

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Regional Economic Outlook in Summary

	2021 Nominal GDP, US$ Total billion	% of region	per capita	Real GDP % year-on-year 2024	2025	2026	Consumer prices % year-on-year 2024	2025	2026
Japan	4,935	n.a.	40,114	-0.2	1.1	0.7	2.7	3.2	2.1
Australia	1,634	n.a.	64,327	1.0	2.0	2.0	3.2	2.8	4.3
New Zealand	247	n.a.	48,861	-0.3	0.2	1.9	2.9	2.8	3.7
Emerging Asia	**26,963**	**100.0**	**8,048**	**4.9**	**5.1**	**4.8**	**1.2**	**0.6**	**1.8**
ex China and India	**6,175**	**22.9**	**10,794**	**3.9**	**3.9**	**4.5**	**2.1**	**1.6**	**2.9**
China	17,706	65.7	12,572	4.9	5.0	4.7	0.2	0.0	1.0
Hong Kong SAR, China	368	1.4	49,849	2.6	3.6	3.4	1.7	1.4	1.6
Taiwan, China	777	2.9	33,071	5.3	8.7	9.8	2.2	1.7	2.0
Korea	1,809	6.7	35,126	2.0	1.0	3.0	2.3	2.1	2.7
India	3,082	11.4	2,250	6.5	7.5	6.0	4.9	2.1	4.6
Indonesia	1,187	4.4	4,358	5.0	5.1	4.7	2.3	1.9	3.5
Malaysia	373	1.4	11,476	5.1	5.2	4.6	1.8	1.4	1.9
Philippines	393	1.5	3,576	5.7	4.4	4.0	3.2	1.6	6.8
Singapore	397	1.5	79,601	5.3	5.0	4.3	2.4	0.9	2.1
Thailand	506	1.9	7,237	2.9	2.4	2.1	0.4	-0.1	2.7
Vietnam	365	1.4	3,757	7.1	7.9	7.3	3.6	3.3	5.3

	Current account balance US$ billion 2024	2025	2026	Current account % of GDP 2024	2025	2026	Foreign reserves US$ billion 2024	2025	2026
Japan	n.a.	n.a.	n.a.	4.6	4.8	3.9	n.a.	n.a.	n.a.
Australia	n.a.	n.a.	n.a.	-2.2	-2.6	-2.0	n.a.	n.a.	n.a.
New Zealand	n.a.	n.a.	n.a.	-4.8	-3.7	-4.2	n.a.	n.a.	n.a.
Emerging Asia	**786.9**	**1165.0**	**1170.4**	**2.6**	**3.8**	**3.6**	**n.a.**	**n.a.**	**n.a.**
ex China and India	**385.9**	**456.8**	**495.6**	**5.4**	**6.1**	**6.7**	**n.a.**	**n.a.**	**n.a.**
China	423.9	747.9	754.1	2.3	3.8	3.6	n.a.	n.a.	n.a.
Hong Kong SAR, China	52.5	54.7	47.3	12.9	12.8	10.5	421	426	428
Taiwan, China	112.7	139.3	135.2	14.1	15.1	13.6	578	585	592
Korea	99.0	122.7	195.9	5.3	6.6	10.2	409	427	445
India	-23.0	-39.7	-79.3	-0.6	-1.0	-2.0	n.a.	n.a.	n.a.
Indonesia	-8.7	-10.2	-15.7	-0.6	-0.8	-1.1	149	145	140
Malaysia	7.2	9.7	14.9	1.7	2.1	2.8	124	127	130
Philippines	-17.5	-16.3	-21.9	-3.8	-3.3	-4.4	95	91	74
Singapore	98.5	100.9	128.0	17.2	16.7	19.9	n.a.	n.a.	n.a.
Thailand	11.6	22.8	2.3	2.2	3.9	0.4	217	249	270
Vietnam	30.5	33.1	9.7	6.8	6.6	1.8	83	87	82

	External debt % of GDP, end of period 2024	2025	2026	Short-term foreign debt US$ billion, end of period 2024	2025	2026	Government balance % of GDP, end of period 2024	2025	2026
Japan	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-6.1	-6.7	-6.9
Australia	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0.0	-0.4	-0.6
New Zealand	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-2.6	-2.4	-2.7
China	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-3.0	-4.0	-4.0
Hong Kong SAR, China	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-1.8	0.1	0.6
Taiwan, China	26.2	23.6	22.5	207	213	221	-0.6	-1.0	-1.6
Korea	35.6	37.9	40.3	146	178	178	-1.7	-1.8	-0.5
India	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	-8.4	-8.0	-8.3
Indonesia	27.4	25.3	23.6	43	43	43	-2.7	-2.9	-3.0
Malaysia	50.6	47.3	44.0	119	129	139	-4.3	-3.8	-3.5
Philippines	28.5	30.6	33.6	21	22	27	-5.7	-4.8	-6.0
Singapore	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0.4	0.4	0.2
Thailand	37.0	34.1	32.1	86	75	75	-4.0	-4.7	-4.5
Vietnam	46.1	47.1	48.1	n.a.	n.a.	n.a.	-3.6	-3.8	-4.0

Source: National statistics authorities and J.P. Morgan

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Key economic statistics

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26
Real GDP, %-ch over 1 quarter, saar									
Japan		1.8	1.4	-2.5	0.8	2.1	0.2	1.0	0.8
Australia		1.7	3.4	1.9	3.2	1.3	1.6	1.5	1.9
New Zealand		4.5	-3.4	3.5	1.0	3.3	1.2	3.4	1.2
Emerging Asia		**4.7**	**4.9**	**4.4**	**5.6**	**6.8**	**3.7**	**3.4**	**3.4**
ex China and India		**2.9**	**5.3**	**5.0**	**6.0**	**6.5**	**2.3**	**2.9**	**3.0**
China		4.9	4.2	3.7	5.2	6.7	4.0	3.2	3.2
Hong Kong SAR, China		4.6	3.3	3.8	4.3	12.2	3.0	2.8	2.8
Taiwan, China		6.4	13.2	7.4	23.6	11.9	2.2	3.6	3.6
Korea		-0.9	2.7	5.4	-0.6	6.9	1.0	2.0	2.0
India		7.2	8.5	7.5	7.5	7.4	4.3	5.5	5.5
Indonesia		4.9	5.5	5.3	5.7	5.7	3.7	3.3	3.0
Malaysia		5.3	6.1	7.6	6.2	1.4	5.0	4.5	4.0
Philippines		4.9	3.7	1.4	2.4	3.8	4.9	5.7	8.2
Singapore		2.5	7.3	7.8	5.2	3.9	3.0	2.0	2.0
Thailand		1.9	2.2	-1.1	7.6	2.7	-1.1	1.2	2.0
Vietnam		7.8	12.0	8.0	5.0	5.0	4.5	6.0	6.0
Consumer prices, %oya, average									
Emerging Asia		**1.8**	**0.7**	**0.4**	**0.9**	**1.4**	**1.9**	**2.1**	**1.9**
ex China and India		**1.6**	**1.5**	**1.5**	**1.8**	**2.1**	**2.9**	**3.2**	**3.3**
China		-0.1	0.0	-0.2	0.6	0.8	1.2	1.3	0.9
Hong Kong SAR, China		1.6	1.8	1.1	1.3	1.6	1.6	1.5	1.7
Taiwan, China		2.2	1.6	1.5	1.3	1.2	2.3	2.3	2.2
Korea		2.1	2.1	2.0	2.4	2.1	2.8	3.1	2.8
India		3.9	3.1	1.9	0.8	3.0	4.2	4.4	5.0
Indonesia		0.6	1.8	2.4	2.8	3.9	2.7	3.2	3.6
Malaysia		1.5	1.3	1.3	1.4	1.6	2.0	2.0	2.1
Philippines		2.2	1.4	1.4	1.7	2.8	7.6	8.2	8.7
Singapore		1.0	0.8	0.6	1.2	1.5	1.9	2.6	2.4
Thailand		1.1	-0.3	-0.7	-0.5	-0.5	3.2	3.9	4.3
Vietnam		3.1	3.6	3.4	3.5	4.7	5.9	5.8	5.6
		1Q25	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26**	**4Q26**
Official interest rates, % p.a., end-period									
Japan	Pol rate IOER[1]	0.48	0.48	0.48	0.73	0.73	1.00	1.00	1.25
Australia	Cash rate	4.10	3.85	3.60	3.60	4.10	4.35	4.35	4.35
New Zealand	Cash rate	3.75	3.25	3.00	2.25	2.25	2.25	2.75	3.00
China	7-day Reverse repo rate	1.50	1.40	1.40	1.40	1.40	1.40	1.30	1.30
Taiwan, China	Official discount rate	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
Korea	Base rate	2.75	2.50	2.50	2.50	2.50	2.50	2.75	3.00
India	Repo rate	6.25	5.50	5.50	5.25	5.25	5.25	5.25	5.25
Indonesia	BI RR rate	5.75	5.50	4.75	4.75	4.75	5.00	5.00	5.00
Malaysia	Overnight policy rate	3.00	3.00	2.75	2.75	2.75	2.75	2.75	2.75
Philippines	Reverse repo rate	5.75	5.25	5.00	4.50	4.25	5.00	5.50	6.00
Thailand	1-day repo rate	2.00	1.75	1.50	1.25	1.00	1.00	1.00	1.00
Vietnam	Refinancing rate	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50

1. BoJ sets the policy rate on IOER (O/N) and targets 10-year JGB yields as policy guidance.
Source: National statistics authorities and J.P. Morgan.

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Australian housing: Grinding gears

- **Tax rule changes on investor housing should reinforce the near-term slowdown**
- **Differences in gearing treatment suggest this will manifest more via weakening in turnover, than in prices**
- **Lower housing turnover is historically negative for consumer spending on furniture, household goods and recreation services**

This month's FY27 Commonwealth Budget affirmed that fiscal policy settings should be a headwind to growth in 2026/27, relative to 2025. That assessment largely rests on fiscal impulse estimates, which translate changes in government revenues and expenditure from policy choices, through fiscal multipliers, into GDP (see here).

However, the FY27 Budget also introduced significant policy changes to the taxation of assets, which carry secondary incentive effects through the economy. Here we focus on one in particular: the elimination of negative gearing on investor housing. Market participants have been particularly interested in the implications for dwelling prices, though in our view the larger effect will be in housing turnover. Below we run through the logic supporting that view and the implications for housing-sensitive consumption groups.

House Rules

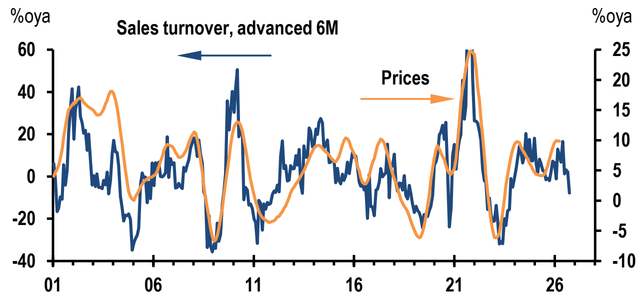
The FY27 Budget unveiled the most significant change in taxation of capital since the late 1990s. Subject to (not guaranteed) passage through the Senate, the government plans to eliminate the current 50% capital gains tax discount (a halving of the marginal tax rate, for assets held for more than one year), moving to an inflation indexation approach. This will tax gains on assets above inflation, at the maximum of one's marginal tax rate, and 30%. The changes, originally mooted to address property speculation, will also apply to equity wealth and returns on other forms of business ownership.

The government plans to simultaneously remove negative gearing of investor housing on existing dwellings. Negative gearing is the right to deduct net rental losses – i.e. when interest and related costs exceed rental income – against other forms of taxable income. Importantly, properties held prior to the release of the Budget will be exempt ("grandfathered"), so arrangements will not change for current investor holdings.

Volume game

By reducing the after-tax benefit of holding investment property, willingness to pay for such assets should fall, meaning a near-term weakening in property turnover and prices. We observed previously that the outlook for housing had already deteriorated following a sharp swing in policy rate expectations. Even in data before the Budget release, housing turnover had fallen on reduced buyer interest, suggesting a turn in house prices ahead (Figure 1). Tax changes are then likely to interact with a slowdown in housing already underway.

Figure 1: Dwelling sales turnover and prices



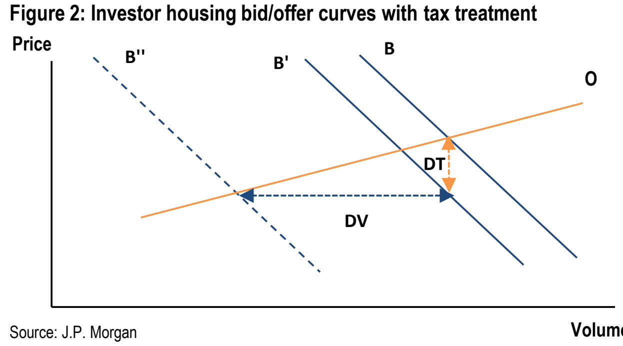
Source: Cotality, J.P. Morgan

The stability of the relationship in Figure 1 reveals an important feature: the relationship between price and turnover appears to be reliably positive. Most variation in turnover then historically comes through demand shocks, against relatively stable market supply, pushing price and quantity in the same direction. Note also that the elasticity of prices to turnover is on average about +0.3, i.e. materially less than one. Most of the time, we should then expect the percentage change in transaction volumes from any demand shocks to be greater than that in prices.

Stuck between gears

The negative gearing rule change is particularly interesting in that grandfathering maintains the tax benefit to existing owners. This is represented by the unchanged offer (O) curve for existing holders of investor housing, in the schematic of Figure 2. Prospective investors, who can't access the tax benefit on the same asset, would perceive lower value, represented by the shift DT in bid curves from B to B'.

Figure 2: Investor housing bid/offer curves with tax treatment



Source: J.P. Morgan

Because the offer curve is relatively flat (slope of approximately +0.3, as above), the change in turnover moving from (O,B) to (O,B') is larger than the resulting change in price, in a ratio of about 3 to 1. In other words, we should again expect reduced turnover to bear most of the adjustment.

Further, for this speculative segment of the market, the lower carrying value of the asset means the bid curve is lower for all states of the world on expected future prices. By reinforcing a downturn underway, the demand shift may then be larger, so that prices need to fully reflect the tax impact. This doesn't change the relative impacts on prices and volumes, but does make for a larger absolute volume contraction (shown by DV). A larger dislocation in turnover is an intuitive income, if buyer and seller now disagree on the carrying value of the asset.

Table 1: Relative price and turnover impacts

Gearing benefit lost (% of price)	Price (growth) impact (%-pt)	Turnover (growth) impact (%-pt)
0.00	-0.0	-0.0
-0.25	-0.4	-1.3
-0.50	-0.8	-2.6
-0.75	-1.2	-4.0
-1.00	-1.6	-5.3
-1.25	-2.0	-6.6
-1.50	-2.4	-7.9
-1.75	-2.8	-9.2
-2.00	-3.2	-10.6
-2.25	-3.6	-11.9
-2.50	-4.0	-13.2
-2.75	-4.4	-14.5
-3.00	-4.7	-15.8

Source: J.P. Morgan.

Table 1 presents rough calculations of the impact on price, with the volume/turnover effect DV assumed to be three times larger. We show some rough simulations, depending on the average tax benefit lost from negative gearing, as a percentage of price (most estimates put this in a 0.5-2% of price range). We then take the gearing benefit per year and treat it as a fixed coupon stream over 10 years, taking the net present value at a mortgage/discount rate of 5.5%. For an aggregate price effect, this is then multiplied by the current share of investors in property ownership (around 1/3) and within that, the share of negatively geared exposures (depending on whether this is % of properties or investors, yields 0.5 to 0.7).

The resulting price impact is in the 1-3% range, similar to Treasury estimates for the entire tax package over the medium term. Recall that this estimate is on top of the underlying trajectory for prices which, as argued above, is already weakening, so could push into modest contraction. The volume/turnover effect is bigger, potentially above 10%-pt.

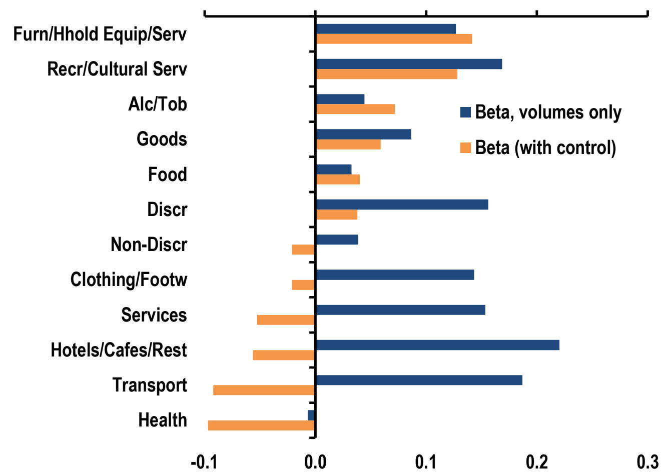
Turning over

We have argued that housing turnover is likely to bear most of the near-term adjustment from the loss of negative gearing. In the past we have also found that while wealth effects from asset prices can be important at times, the most cyclical components of consumer spending have a more reliable relationship to housing turnover.

Figure 3 below shows the betas of nominal household spending categories (%oya) to lagged housing turnover (%oya, 6m lag). The blue bars are from a regression with only a constant, and dwelling turnover. The orange bars are from a regression with an extra control for aggregate spending (the first principal component of spending growth across all categories), so represent the relative over- or under-performance of a category, as a function of housing turnover.

Figure 3: Betas of household spending to housing turnover

% change in %oya spending for % change in housing turnover growth



Source: ABS, J.P. Morgan

In the orange bars, which we view as the most relevant result, furniture/household equipment/household services, intuitively, have greatest relative sensitivity to housing turnover. Health, transport, hospitality, and clothing/footwear have lower, or negative sensitivity. If we take out the control for aggregate spending (the blue bars), the betas generally go up, as they now also pick up the broader business cycle relationship between aggregate consumption and housing turnover, which has many elements. That result may suggest some additional downside risks to spending overall, though relative to our already-soft forecasts calibrated on the higher rate outlook, we see less downside at these levels, given the cushion from the increase in the saving rate over the last year.

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Japan

- **Manufacturers' future concerns are focused not on weaker demand, but on tighter supply conditions**
- **The government announced plans to fund the investment budget off-budget,...**
- **… which may politically mask fiscal expansion but leaves JGB supply and demand concerns unresolved**
- **Next week: 1Q corporate capex and profits, May wages**

Incoming data suggest that economic activity continues to be resilient, supported by government subsidies offsetting much of the impact of higher crude prices, while conflict in the Middle East is contributing to a drawdown of production inventories. Against the backdrop of solid tech demand and a decline in headline inflation, both industrial production and retail sales in April came in stronger than expected. Manufacturers' production plans also remain firm, suggesting that their concerns are tilted not toward demand but primarily toward supply constraints.

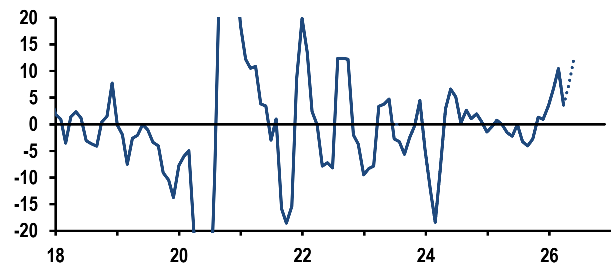
This strength is also being supported by the government's fiscal measures that effectively shoulder the inflationary pressures emerging globally. This week, in addition to a supplementary budget related to energy subsidies of more than JPY3 trillion (about 0.5% of GDP)—already signaled by the government last week—the administration indicated it will fund fiscal costs related to the growth strategy, currently being discussed under the Takaichi government, through a framework managed outside the general account. While the size and details will be clarified in due course, the government appears to be considering a scheme similar to the existing Fiscal Investment and Loan Programs (FILP). If so, future investment budgets executed under this framework would, statistically, be classified as belonging to a public-sector entity separate from the government, and therefore would not affect the general government's primary balance or the outstanding government debt. Politically, this would likely be used to argue that the government is "responsibly" mindful of fiscal discipline even while pursuing an expansionary fiscal stance.

However, the substantive impact on markets may differ from the narrative. Regardless of how the government administratively segments these items or how they are classified in official statistics, the JGBs issued under this program would have the same characteristics as ordinary JGBs and would be incorporated into the government's bond issuance plans from the next fiscal year onward. PM Takaichi has also indicated a policy of securing the necessary amount without being constrained by conventional budget ceilings, suggesting that a sizable budget may be in view. If discussions on growth investment—expected from this summer onward—raise the likelihood of increased JGB issuance via off-budget accounts, supply–demand concerns in the JGB market, which is already facing pressure, would likely intensify further.

April output rises as inventories contract

Japan's April industrial production rose 0.8% m/m sa, above our expectation (0.5%) and well above consensus (-0.9%). Part of the gain reflects a rebound from the prior two months' declines, but the broader tone remains firm: the three-month run rate is up 3.9%3m/3m saar. Manufacturers' projections also remained upbeat following solid growth in 1Q (Figure 1). METI's production outlook implies a 2.1% increase in May, consistent with the resilience signaled by the May PMI. With only a modest payback expected in June, manufacturers' projections point to a clearer pickup in 2Q than our forecast of a limited pickup.

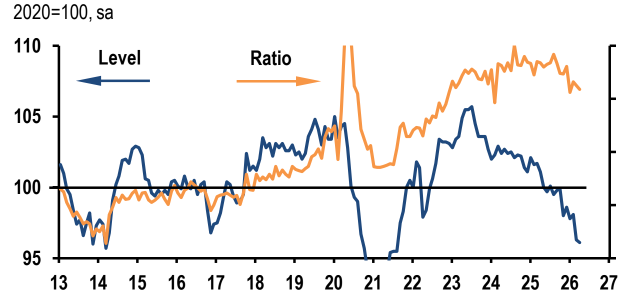
Figure 1: Manufacturing output
%3m/3m saar, dashed line is manufacturers' projection



Source: METI, J.P. Morgan

As in prior months, the April details show a divergence between tech-related strength and softness elsewhere. Electronics output rose 1.6% m/m sa and tech-related machinery output rose 3.5%. On the flip side, auto output fell 2.4%m/m sa, and the chemical and petroleum/oil products industries—where supply conditions appear to be more affected by energy-related disruptions—extended their declines for a third consecutive month (-2.8% and -3.4% in April, respectively).

Figure 2: Inventories and inventory to shipment ratio
2020=100, sa



Source: METI, J.P. Morgan

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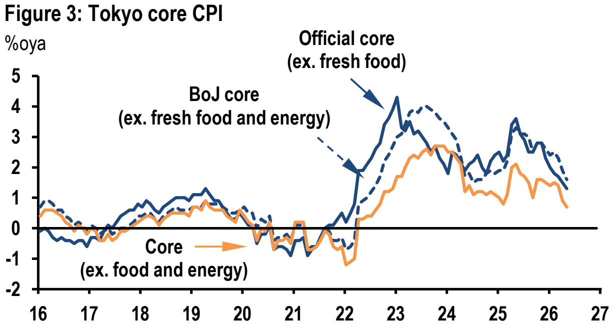
Against this backdrop, inventories continued to be drawn down. Total inventories fell 0.2%m/m sa after a 1.8% decline in March, bringing levels close to pandemic-era lows (Figure 2). While auto inventories rebounded sharply, inventories in chemicals and plastics continued to contract. Alongside resilient shipments, this may suggest that firms may be meeting demand by running down inventories, potentially because production is constrained. Overall, the data imply activity is holding up on the back of resilient demand, but the inventory drawdown also reduces the buffer against further supply constraints.

Wider subsidy rollout lowers Tokyo CPI

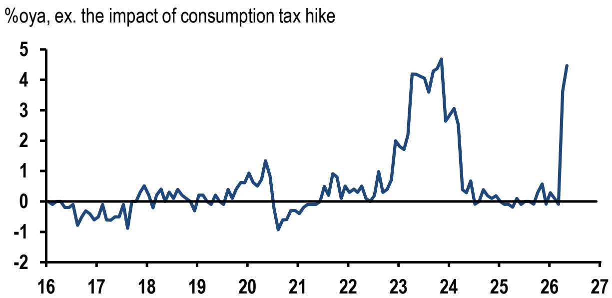
May Tokyo CPI came in weaker than expected. The official core (ex. fresh food) index rose 0.2%m/m sa to 1.3%oya (consensus and JPM: 1.5%) (Figure 3). The main drag was a further expansion of policy-driven price reductions. In addition to the broadened free childcare measures and free school lunch programs that have been weighing on inflation since spring, water charges became free from May. While free water charges are not a nationwide measure, in Tokyo water bills will be waived for four months starting in May. This is estimated to have lowered May's official core (ex. fresh food) inflation by around 0.2%-pt. Combined with the roughly 0.5%-pt drag from childcare, the total policy impact is to lower inflation by at least about 0.7%-pt. Excluding these policy effects, the underlying inflation trend remains consistent with the BoJ’s policy target.

Figure 3: Tokyo core CPI



Source: Statistics Bureau, J.P. Morgan

Figure 4: Tokyo CPI, public transportation



Source: Statistic Bureau, J.P. Morgan

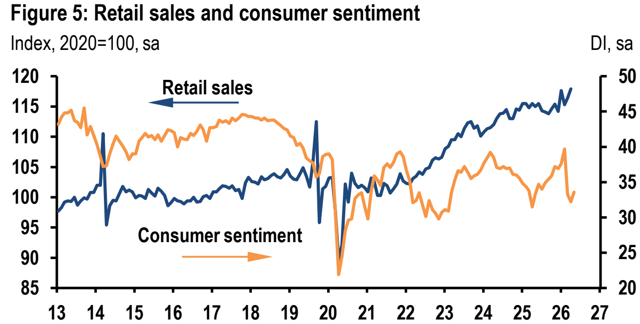
Underlying inflation remains firm. As of May, there are no clear signs of rising producer inflation caused by higher crude prices broadening into consumer prices. By contrast, inflation driven by accumulated cost increases—including wages—remains widespread. This is evident in categories such as communications (6.9%oya), public transportation (4.5%), and recreation services (2.4%oya) (Figure 4). Meanwhile, medical care posted a slight decline in May (-0.1%oya), marking the third consecutive month of marginally negative inflation. This largely reflects reductions in administered drug prices since the spring, ahead of the scheduled 2.8% increase in medical service fees in June. The government has been cutting medical costs, including drug prices, for more than a decade, but last year it finally decided on a positive revision at the highest level since 1996. Reflecting this, medical care inflation is likely to pick up again from next month onward.

Looking ahead, policy-driven disinflationary effects are likely to persist for the time being, but there are growing signs that price pressures for other goods and services are building. While the activity data do not send a clear signal of a sharp slowdown, producers are facing significant cost pressures. We expect this to begin feeding through to consumer prices gradually over the summer, pushing up inflation (excluding policy effects) to a level above the BoJ's target.

April sales firm, and confidence picks up

April retail sales rose 1.3%m/m sa, beating our expectations of a 0.4% increase. Part of the surprise reflected stronger-than-expected durable goods spending, likely supported by government policies. Still, today’s report suggested that household spending has remained resilient despite weak consumer sentiment (Figure 5), with the three-month run rate up 2.8%3m/3m saar. The gap between sentiment and realized spending is not unusual in this cycle, and we believe that the near-term resilience in consumption is being underpinned by energy and other subsidies that have lowered headline inflation by more than 1%pt and helped preserve real purchasing power at the start of the quarter.

Figure 5: Retail sales and consumer sentiment



Source: METI, Cabinet Office, J.P. Morgan

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Sentiment indicators started to recover in May. The Cabinet Office's May consumer confidence index rose 1.4 points to 33.6, returning to above the March level, though it remains well below pre-conflict readings amidst still-elevated inflation expectations. The share of households expecting inflation above 2% edged down only 1.1%pts to 85.8%, still 14.4%pts above February. Even so, the recovery in consumer sentiment possibly suggests that households are taking some reassurance from policy measures that limit the pass-through of energy costs.

Data releases and forecasts

Week of June 1 - 5

Mon	MoF corporate survey				
Jun 1	%q/q saar, unless noted, nonfinancial firms				
8:50am		2Q25	3Q25	4Q25	1Q26
	Sales	-4.6	-0.3	2.6	
	Current profits	6.9	16.3	6.5	
	Capex ex. software	-0.7	0.0	16.9	
	Capex ex. software (%oya)	5.2	2.9	7.3	5.5

We expect capital expenditures excluding software in the MoF corporate survey, which is a major input to the second estimate of GDP, to rise 5.5%oya in 1Q26. While the first estimate of 1Q26 real GDP showed stable growth in capex, high-frequency data suggested jumps in machinery orders.

Fri	Employers' survey – preliminary				
Jun 5	%oya				
8:30am		Jan	Feb	Mar	Apr
	Monthly wages per employee	2.5	3.4	3.1	2.7
	Scheduled payments	3.0	3.4	3.4	
	Full-timers monthly	3.4	3.8	3.9	
	Part-timers hourly	3.7	4.2	4.3	
	Overtime payments	3.2	3.0	3.1	
	Special payments	-8.6	7.5	-0.7	
	Real wages (total)	1.0	2.1	1.6	
	*Real wages deflated by headline CPI				

We expect the Employers' Survey to continue to indicate a solid increase in scheduled payments growth in April.

Review of the past week's data

Services producer prices (May 27)

	Feb	Mar	Apr
%oya	2.7	~~3.1~~ 3.3	___ 3.0
Ex. international transportation	~~2.7~~ 2.8	~~2.8~~ 2.9	2.5

The BoJ's Services Producer Price Index rose 0.5%m/m and 3.0%oya in April. Services PPI inflation has picked up since March, with both the March and April readings at 3%oya or higher for the first time since last September. The rise was driven mainly by transportation services amid higher energy costs: transportation prices increased 5.1%oya, a much stronger gain than in 2022–23. While international transportation—typically sensitive to overseas demand and currency moves—surged and pushed up the overall transportation index, domestic transportation also strengthened, including road freight transportation (+3.5%oya). Combined with the strong increase in April goods PPI, higher transportation costs are likely to feed into consumer prices with a lag of a few months.

Excluding international transportation, services PPI inflation eased to 2.5%oya, but this still implies persistent inflation pressure. Prices for labor-cost-sensitive services rose 2.5%oya (down 0.4%pt from March) but increased 1.2% m/m, pointing to continued underlying momentum. Firm wage growth this year should keep these service prices elevated. Leasing prices also jumped 5.3%oya in April, the strongest increase in the past decade.

Tokyo consumer prices (May 29)
2020-based

	Mar	Apr	May
%oya			
Overall	1.4	1.5	~~1.5~~ 1.4
Core (ex fresh food)	1.7	1.5	~~1.5~~ 1.3
Ex fresh food and energy	2.3	1.9	~~2.0~~ 1.6
Ex food and energy	1.4	0.9	~~1.0~~ 0.7
%m/m, sa			
Overall	0.1	~~0.5~~ 0.4	0.2
Core (ex fresh food)	0.3	0.1	0.2
Ex fresh food and energy	0.2	-0.1	~~0.3~~ 0.1
Ex food and energy	0.2	0.0	~~0.2~~ 0.0

See main essay.

Labor force survey (May 29)
Sa

	Feb	Mar	Apr
Unemployment rate (% sa)	2.6	2.7	~~2.7~~ 2.5
Job offers ratio (% sa)	1.19	1.18	~~1.19~~ 1.18

Industrial production – preliminary (May 29)
%m/m, sa

	Feb	Mar	Apr
Production	-2.0	-0.4	~~0.5~~ 0.8
Shipments	-1.5	-0.9	__ 1.5
Inventories	0.3	-1.8	__ -0.2
Inventory/shipments ratio	2.0	-0.7	__ -0.7

See main essay.

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Commercial sales (May 29)
%m/m, sa

	Feb	Mar	Apr	
Total retail sales	-2.0	1.0	~~0.4~~	*1.3*
%oya	-0.1	1.4	~~1.2~~	*2.1*

Motor vehicle sales surged 9.7%m/m sa, possibly reflecting increased subsidies for clean energy vehicles and the reduction in motor vehicle taxes that began in April. Home appliance sales rose 2.5% m/m sa. Industry data suggested strong air conditioner sales, which were potentially due to elevated replacement demand ahead of next year's regulatory changes. Non-durable goods were more mixed: apparel sales increased 2.5%, but higher energy prices may have weighed on food (down 0.5%) and fuel (down 4.2%), even as energy subsidies cushioned some of the direct impact on households.

Housing starts (May 29)

	Feb	Mar	Apr	
Housing units %oya	-4.9	-29.3	~~13.8~~	*11.4*
%m/m, sa	-0.6	-1.9	~~-1.0~~	*-1.7*
Mn units, saar	0.75	0.74		*0.72*
Floor space, 6mma (%m/m, sa)	0.8	0.8		*-1.7*

Housing starts posted a fourth consecutive monthly decline. In addition to trend weakness in housing demand, supply-side pressures are weighing on the construction industry. Input costs continue to rise, driven by yen depreciation and higher labor costs. Industry data also indicate that inventories of certain oil-derived products have fallen since March, potentially pointing to emerging supply constraints.

Consumer sentiment (May 29)
DI, sa

	Mar	Apr	May	
Consumer sentiment	33.3	32.2	~~32.6~~	*33.6*
Standard of living	29.7	28.2	___	*31.2*
Income growth	39.8	39.8	___	*40.3*
Labor market conditions	37.6	37.4	___	*38.3*
Durables purchases	26.0	23.2	___	*24.4*
% of respondents, "Rise" minus "fall"				
Inflation expectations in next 12 months				
Nsa	89.0	91.3	___	*91.6*
Sa	90.7	90.1	___	*91.5*

1. The DI asks whether a respondent thinks that now is a good time to purchase durables

Recovery in the standard-of-living DI is consistent with energy price caps supporting perceptions of real purchasing power. The willingness-to-buy-durables index also improved, although it remains below levels seen over the past three years. Income conditions remain steady, pointing to sustained real income growth.

Sources for all data tables: ADA, BoJ, CAO, JCSA, JDSA, JFA, JLM, VMA, Markit, METI, MHLW, MILT, MoF, Reuters, Statistics Bureau, J.P. Morgan forecasts.

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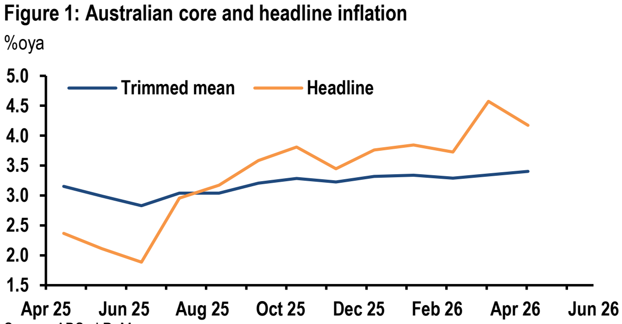
Australia and New Zealand

- **Australian CPI lands at 4.2%oya in April, well below expectations**
- **We forecast Australian GDP to increase 0.5%q/q in 1Q26**
- **RBNZ delivered a hawkish hold; we now expect hikes from July**

April's headline inflation data were softer than expected, increasing 0.4%m/m (J.P. Morgan and consensus: 0.6%m/m) which saw the annual rate slow four tenths to 4.2%oya. Trimmed mean CPI printed at 3.4%oya, one tenth firmer than the prior release (Figure 1). Combined with the recent upturn in the unemployment rate, the print supports our forecast for the RBA to remain sidelined through 2026. The inflation pick-up since mid-2025 has been concentrated in goods and energy, while core measures have continued to decelerate toward 3% annualised pace. Goods pass-through from energy/supply shocks has so far been muted, and even on a conservative roll forward, 2Q is tracking softer than RBA forecasts of 1.5%q/q headline and 1.0%oya trimmed mean.

Figure 1: Australian core and headline inflation



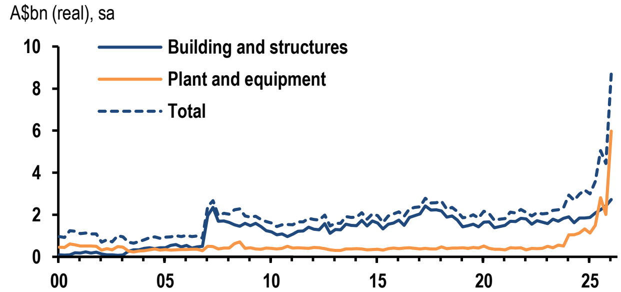
Source: ABS, J.P. Morgan

The details of the CPI print revealed fuel fell 7%m/m on the heels of the excise tax cut and lower spot energy prices, while softer than anticipated food and clothing price growth explained most of our forecast miss. The housing basket was mixed with new dwelling purchase costs moving higher, while residential rents flatlined and electricity/gas prices declined. Domestic holiday/accommodation inflation was surprisingly strong, which the ABS attributed to peak Easter/school holiday demand and which we expect to fade.

GDP tracking firmer

This week's GDP tracking data point to solid activity momentum heading into the 1Q release. Construction work done surprised to the upside, rising 3.4% q/q, as a surge in engineering and non-residential building activity more than offset a slowdown in residential construction. Private capex was also much stronger than anticipated (+6.5% q/q), led by plant and equipment spending in the technology sector (Figure 2). That said, the tech sector's reliance on capital imports implies part of this strength will be offset by a sharp rise in real imports, resulting in a drag from net exports.

Figure 2: Australian technology sector capital expenditure



Source: ABS, J.P. Morgan

The monthly household spending indicator suggests consumption held up reasonably well in 1Q. Together with a shift in spending from the public to private sector following the expiry of the electricity subsidy, this should see quarterly real spending growth accelerate in the March quarter. In aggregate, the data suggest 1Q GDP growth at 0.5%q/q, a 0.2-%pt uplift from our initial tracking estimate, owing to the upside surprises in this week's data.

RBNZ: holding on

In a split decision, the RBNZ held the OCR at 2.25% at its May meeting with a hawkish turn in communications. Internal members (Governor Breman, Silk, Conway) voted to hold, while external members (Hansen, Gai, Gourley) voted to hike; the Governor's casting vote broke the tie. All members agreed that the OCR needs to rise over time, with the disagreement centered on urgency. Externals emphasized the risk that first-round indirect price increases broaden into second-round dynamics, while internals placed greater weight on low core inflation, anchored expectations, and weak domestic demand containing spillovers. The split and the accompanying tone represent a materially hawkish shift versus recent guidance that had emphasized gradualism.

We now expect a 25bp hike in July (previously September) and retain our forecast of 100bp of total tightening through early 2027 (Figure 3). Forward guidance explicitly stated the OCR will "most likely need to increase sooner and by more than envisaged" in the February MPS, reinforced by an OCR track that is 40bp higher by 4Q26 and plateaus around 3.1% in mid-2027.

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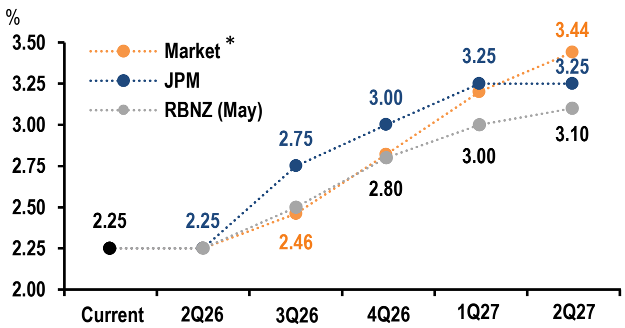
Figure 3: RBNZ cash rate forecasts



Source: RBNZ, Bloomberg Finance L.P., J.P. Morgan *Market pricing as of May 27th*

The Bank revised up its inflation profile, with headline CPI now expected to peak at 4.3% in 3Q (+1.8%-pts vs prior), attributed almost exclusively to energy prices while keeping core broadly consistent with target. GDP forecasts were pushed lower in 1H26 but revised higher in 2H27 despite a higher forecast for the real cash rate and unemployment still above 5%.

Australia

Data releases and forecasts

Week of June 1 - 5

Tue	**ANZ job advertisement**				
May 19		**Feb**	**Mar**	**Apr**	**May**
10:30am	%m/m, sa	3.1	-3.2	-0.8	

Mon	**Building approvals**				
May 18		**Jan**	**Feb**	**Mar**	**Apr**
8:30am	%m/m, sa	-6.9	30.1	-10.5	-3.0

Residential building approvals have picked up over 2H25, though the path has been choppy with lumpy high density approvals driving the uplift. We expect approvals growth will ease through the year as housing market activity slows, with auction clearance rates, sales volumes and prices already turning sharply lower. For April, we expect some further pay-back in the high density segment following a +90%m/m move in February, while detached approvals should fare somewhat better.

Wed	**Company gross operating profits**				
May 13		**2Q25**	**3Q25**	**4Q25**	**1Q26**
11:30am	%q/q, sa	-3.7	1.5	5.8	

Thu	**Current account**				
May 14		**2Q25**	**3Q25**	**4Q25**	**1Q26**
11:00am	A$bn, sa	-17.2	-18.3	-21.1	-23.0

Fri	**Gross domestic product**				
May 15		**2Q25**	**3Q25**	**4Q25**	**1Q26**
8:30am	%q/q, sa	0.8	0.5	0.8	0.5

Fri	**Goods trade balance**				
May 15		**Jan**	**Feb**	**Mar**	**Apr**
8:30am	A$bn	2.1	5.0	-1.8	3.0

Review of past week's data

Headline CPI

	Feb	Mar	Apr	
%oya	3.7	4.6	~~4.5~~	*4.2*
%m/m	0.0	1.1	~~0.6~~	*0.4*

See main text.

Trimmed mean CPI

	Feb	Mar	Apr	
%oya	3.3	3.3		*3.4*
%m/m	0.3	0.2		*0.3*

Construction work done

	3Q25	4Q25	1Q26	
%oya	0.10	-0.10	~~2.0~~	*3.6*

Household spending

	Feb	Mar	Apr	
%m/m, sa	0.3	1.6	~~-0.5~~	*-1.1*

Private sector credit

	Feb	Mar	Apr
%m/m, sa	0.6	0.7	0.5

New Zealand

Data releases and forecasts

Week of June 1 - 5

No data releases of note.

Review of past week's data

RBNZ official cash rate

	Feb	Apr	May
%	2.25	2.25	*2.25*

See main text.

Sources: ABS, Stats NZ, RBA, RBNZ, J.P. Morgan

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Greater China

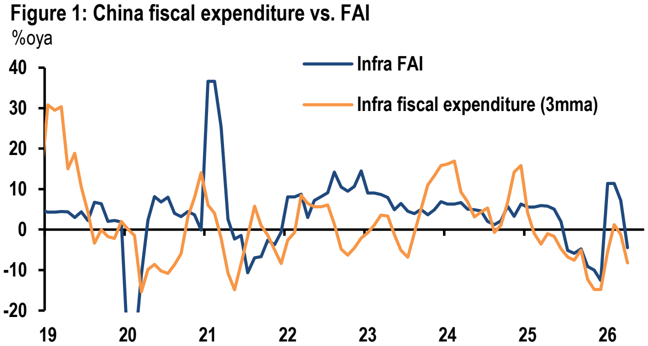
- **China: Fiscal spending pullback mirrors fixed asset investment drop**
- **Strong but uneven industrial profit growth**
- **Taiwan: Tech IP resilient while retail sales gained**
- **Hong Kong: Solid export gains led by Asia**
- **Next week: China PMIs; Hong Kong retail sales and PMI; Taiwan PMI and CPI**

The Middle East–driven energy shock visibly weighed on China's domestic production and demand in April, testing the 'resilience' narrative. We think this is partly due to greater-than-expected policy patience (vs subsidy rollouts in regional peers) and some scaling back of fiscal support. Alternative data suggest processed crude output may have contracted further in May even as coke-oven operations rose, likely indicating oil-to-coal switching that could partly offset the drag. Port trackers show slower outbound container and bulk deadweight tonnage on the month, pointing to a likely partial cooling after April's rebound. For next week's May PMIs, we expect a modest dip to 50.1 for NBS manufacturing and 51.0 for RatingDog.

Fiscal spending pulled back

April fiscal data helped explain the surprise Fixed Asset Investment (FAI) contraction in April. General budget expenditure turned negative at -3.2%oya, led by an -18.6%oya drop in infrastructure spending, consistent with the broader investment pullback (Figure 1). Livelihood spending also cooled. Outside the general budget, government-managed fund accounts saw land-sale revenue down sharply and overall revenue/expenditure contracting, highlighting continued housing/land-related pressures on local-government finances. Fiscal deposits jumped more than typical seasonality would explain, suggesting slower fiscal deployment. Revenue growth remained relatively solid at 6.7%oya in April, still driven by tax receipts.

Figure 1: China fiscal expenditure vs. FAI



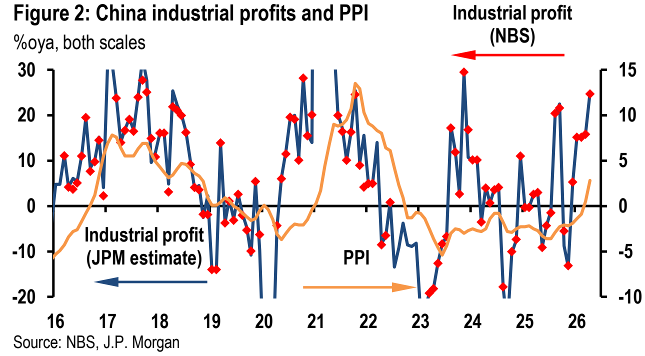
Source: MOF, J.P. Morgan

The latest fiscal figures point to greater policy patience following strong 1Q GDP growth, contrary to our expectation that fiscal spending and public projects would be notably front-loaded early in the 15th Five Year Plan (FYP). While central government bond issuance has picked up, local issuance – especially special LGBs – slowed sharply in April and May. Prima facie, less front loading also implies that fiscal policy will be less of a drag in 2H. Meanwhile, the investment pullback may reflect: i) a thinner pipeline of eligible projects, ii) prioritizing debt repayments, and iii) the slow rollout of policy-bank tools. As approvals accelerate – alongside faster government bond issuance and quicker deployment of proceeds – investment could rebound from April's sharp contraction.

Industrial profits reveal K-shaped growth

Headline industrial profits accelerated to 24.7%oya in April, lifting YTD profit growth to 18.2%oya in Jan-Apr, well above the same period last year (Figure 2). Sector performance showed further divergence. Profits in policy tailwind sectors, including equipment and high tech manufacturing, continued to grow at a decent pace. Imported PPI inflation from higher global commodity prices lifted profits in upstream raw material sectors (+88.1%oya). Demand from new energy and AI also boosted non-ferrous metal profits (+117.8%). In contrast, consumer product profits remained in contraction amid ongoing demand weakness, including furniture, autos and clothing.

Figure 2: China industrial profits and PPI



Source: NBS, J.P. Morgan

Looking ahead, we remain cautious about the scope for a sustained, broad-based profit rebound. Domestic demand remains weak, with consumer goods PPI still in deflation. Soft retail spending suggests downstream sectors may have limited ability to pass higher input costs on to consumers, creating pressure on profit margins.

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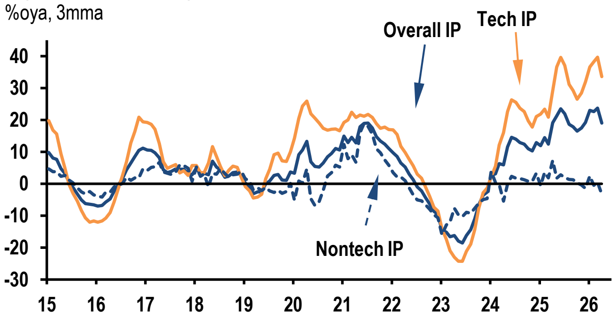
Taiwan: IP resilient, retail sales jumped

Taiwan's industrial production rose 0.2 % m/m sa (14.2% oya) in April, as the tech sector continued to outperform (Figure 3). Tech IP remained resilient (+1.0%m/m sa), supported by gains in electronic parts and components (+3.0%), while AI server output was broadly flat (+0.1%). Non-tech output was weighed down mainly by petroleum/coal/chemicals, likely reflecting oil supply and feedstock disruptions. This drag was partly offset by firmer machinery and equipment activity tied to AI-related capacity expansion, alongside modest gains in base metals and motor vehicles. Retail sales recovered in April after a weak March, indicating firmer consumption momentum, helped by equity market wealth effects and a gradual improvement in non-tech wage growth. Consumer confidence also edged higher.

Figure 3: Taiwan IP growth breakdown
%oya, 3mma



Source: MOEA, J.P. Morgan

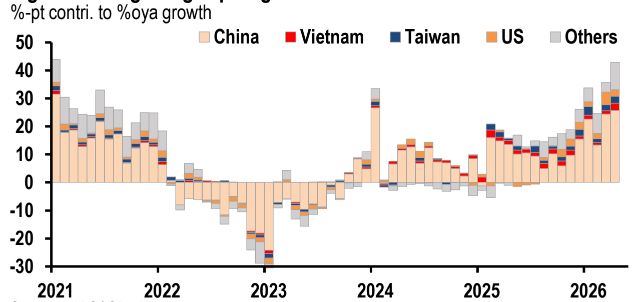
Debate around Taiwan's outlook centers on the duration of the AI upcycle and the impact from the energy shock. Recent US hyperscaler results suggest the AI capex cycle remains intact, with strong backlogs pointing to multi-year demand that should continue to support Taiwan's tech manufacturers. On energy, the Ministry of Economic Affairs reports June–July supplies are secured, with ample crude and gas inventories, while alternative Middle East routes and higher US imports are keeping shipments on track. Petrochemicals faced more pressure, but downstream spillovers appear manageable so far.

Hong Kong: exports firmed, led by Asia

Headline exports rose for the eighth consecutive month, up 5.0%m/m sa, lifting the annual rate to 42.9%oya. Shipments to Asia (excluding China) showed strong momentum (+5.7%m/m sa), while exports to mainland China rose for the sixth consecutive month (+2.9%), reflecting Hong Kong's role as a re-export hub in the regional tech supply chain (Figure 4). Imports firmed further on a 2.6%m/m rise, with the annual growth reaching a multi-year high at 44.4%oya.

Hong Kong's 1Q GDP reached a five-year high driven by investment (esp. inventories), while net trade was a drag as imports outpaced exports. Looking ahead, net export contributions may remain volatile, but strong regional tech trade and resilient mainland China exports should provide some support. The Trump–Xi summit is an incremental positive by stabilizing trade ties, but uncertainty remains given the structurally competitive nature of the relationship. A prolonged or escalated conflict could weigh on HK trade through disruptions to major trade routes and a potential drag on the external demand of mainland China's exports.

Figure 4: Hong Kong export growth breakdown
%-pt contri. to %oya growth



Source: HK C&SD, J.P. Morgan

China

Data releases and forecasts

Week of May 31- June 5

Sun	**Purchasing managers index**				
May 31	Index				
9:30am		**Feb**	**Mar**	**Apr**	**May**
	Overall (RatingDog)	52.1	50.8	52.2	51.0
	Output	53.6	50.8	53.8	
	Overall (NBS)	49.0	50.4	50.3	50.1
	Output	49.6	51.4	51.5	

Review of past week's data

Industrial profits (27 May)
% change

	Feb	Mar	Apr
%oya	15.2	15.8	*24.7*
%oya, ytd	15.2	15.5	*18.2*

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Hong Kong SAR

Data releases and forecasts

Week of June 1-5

Tue
Jun 2
4:30pm

Retail sales volume
% change

	Jan	Feb	Mar	Apr
%oya	3.5	17.5	9.8	9.4
%m/m sa	1.0	3.3	0.3	0.3

Wed
Jun 3
8:30am

S&P Global Hong Kong PMI
Index, sa

	Feb	Mar	Apr	May
Overall	53.3	49.3	48.6	50.3
Output	55.5	48.6	48.3	

Review of past week's data

Merchandise trade (28 May)
US$bn

	Feb	Mar	Apr	
Balance	-64.2	-89.1	~~-67.9~~	*-29.5*
Exports	408.8	618.4	~~567.0~~	*620.9*
%oya	24.7	35.8	~~30.5~~	*42.9*
Imports	472.9	707.5	~~634.9~~	*650.4*
%oya	29.9	41.2	~~40.9~~	*44.4*

Taiwan

Data releases and forecasts

Week of June 1-5

Mon
Jun 1
8:30am

S&P Global Taiwan PMI Mfg
Index, sa

	Feb	Mar	Apr	May
Overall	55.2	53.3	55.3	53.0
Output	55.5	52.8	54.8	

Fri
Jun 5
4:00pm

Consumer prices
% change

	Feb	Mar	Apr	May
%oya	1.8	1.2	1.7	2.1
%m/m sa	0.5	-0.1	0.4	0.2

Review of past week's data

Industrial production (26 May)
% change

	Feb	Mar	Apr	
%oya	16.6	26.1	~~16.6~~	*14.2*
%m/m sa	1.6	3.0	~~0.6~~	*0.2*

Real GDP (29 May)
% change

	25Q3	25Q4	26Q1	
%oya	8.4	13.0	~~13.7~~	*14.6*
%q/q saar	6.7	28.7	~~11.9~~	*6.9*

Source: NBS, China Customs, Hong Kong Census and Statistics Department, Taiwan Ministry of Economic Affairs, DGBAS, MoF, J.P. Morgan forecasts. The long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China); and Taiwan (China).

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Korea

- **Bank of Korea signals faster and stronger hiking cycle; we revise up the terminal rate to 3.5%**
- **April IP pulls back less than expected, creating upside risks for 2Q growth**

At this week's MPC meeting, the Bank of Korea kept its policy rate unchanged at 2.5%, as was widely expected. However, the tone of the communication—including the dot plot, hawkish dissenting votes, and press conference—was significantly more hawkish than anticipated, signaling a faster and stronger rate hiking cycle ahead. The forward guidance now clearly points to a rate hike at the July MPC meeting, rather than the previously anticipated November meeting. We now expect the first hike in July followed by three more hikes later this year and next year, taking the policy rate to 3.5%.

Meanwhile, despite a modest pullback in April IP, Korea's manufacturing sector continues to show resilience, with robust tech output and improving trends in defense-related manufacturing. While 2Q growth is expected to slow compared to 1Q, the benign nature of April IP's pullback and the ongoing momentum in key sectors suggest there is upside risk to our current 2Q GDP growth forecast.

BoK signals faster, stronger hike cycle

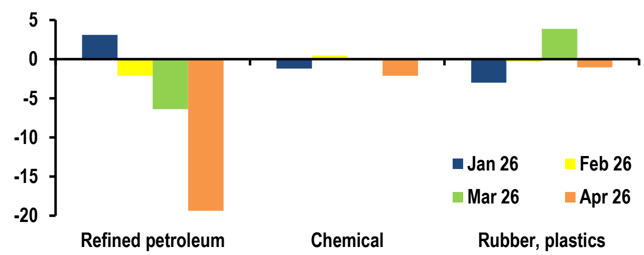
The shift towards a more hawkish stance is rooted in the MPC's renewed optimism about Korea's growth prospects. The growth forecast was revised up to 2.6%, reflecting expectations for a sustained upswing led by the tech sector, with spillover effects to domestic demand. This marks a departure from the April MPC meeting, which had emphasized downside risks from Middle East geopolitical tensions and adopted a wait-and-see approach. Now, demand-side inflation pressures are being considered more seriously, and the Governor's remarks indicate a clear direction across growth, inflation, and financial stability, allowing for greater consensus within the MPC. The communication suggests that the Committee is more concerned about inflation spillover from tech-led growth, and is prepared to act more decisively.

In light of these developments, we are revising our policy rate forecast through the end of 2027 from 3.0% to 3.5%. The dot plot and dissenting votes indicate that two hikes are likely this year, with further action possible if growth and inflation remain above potential and target next year. We also expect the timing of rate hikes to be brought forward, with a July hike now highly likely, followed by another one in October. Additional hikes are expected in January and April next year, each by 25bp, to reach 3.5% at the April 2027 meeting. Overall, the BoK's more hawkish stance reflects a greater emphasis on the impact of growth on inflation, and we anticipate further upward revisions to the growth outlook in the coming months.

IP fell only modestly in April

In April, Korea's industrial production declined 0.7% m/m sa, a milder pullback than anticipated following strong gains in the previous two months. The three-month trend growth rate rebounded to 18.2% 3m/3m, saar, largely reflecting the low base in January. Tech manufacturing was a bright spot, with computer parts rising 13.8% m/m sa and semiconductors up 3.1%, resulting in a 2.5% rebound in overall tech IP after a sharp drop in March. Although tech shipments fell 4.2% in April, this was in line with typical early-quarter patterns, and both shipments and production are expected to increase in May and June. The three-month trend growth for tech products was a robust 71.1% 3m/3m, saar, and this momentum is likely to persist through the remainder of the second quarter.

Figure 1: Petrochemical productions
%m/m, sa



Source: NSO, and J.P. Morgan

Non-tech production, by contrast, declined 2.0% m/m sa in April after a 3.6% gain in March, with auto production falling 10.0% and petroleum refining dropping 19.4% amid supply chain disruptions and new model launch cycles. Chemical products and rubber/plastics were less affected, helping overall IP to hold up (Figure 1). In the petro refinery sector, inventories declined by less than shipments, pushing the shipment-to-inventory ratio higher. Crude oil and naphtha imports fell sharply, while natural gas imports increased, but government guidance suggests that average import volumes for May–July should recover to over 80% of last year's levels. If this rebound materializes, the negative impact on refining and related industries should gradually ease, though some stress is expected to persist through May.

Data releases and forecasts

Week of June 1-5

Mon	**Customs trade**				
Jun 1	US$ bn, nsa				
9am		**Feb**	**Mar**	**Apr**	**May**

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	Trade balance	15.7	26.8	23.8	23.0
	Exports	67.6	87.2	85.9	86.0
	Imports	51.9	60.4	62.1	63.0

High-frequency customs trade data show continued month-on-month growth in nominal terms, with the three-month trend growth rate still posting triple-digit figures – likely reflecting strong price effects.

Mon	**Purchasing Managers Index**				
Jun 1	Index, sa				
9.30am		**Feb**	**Mar**	**Apr**	**May**
	PMI - Manufacturing	51.1	52.6	53.6	53.5

Observed supply disruptions for manufacturers may have eased somewhat in May, in line with the May local survey results, while inventory trends are likely to be mixed – reflecting both ongoing procurement efforts and risk of depletion.

Tue	**Consumer prices**				
Jun 2	% change				
8am		**Feb**	**Mar**	**Apr**	**May**
	%oya	2.0	2.2	2.6	3.0
	%m/m, nsa	0.3	0.3	0.5	0.3

Although energy import prices partially retreated last month, inflation risks are building on both the energy and non-energy sides, as indicated by producer price trends through April.

Fri	**Current account**				
Jun 5	US$ bn, nsa				
8am		**Jan**	**Feb**	**Mar**	**Apr**
	Balance	13.3	23.2	37.3	29.0

While the headline balance may pause in April due to the seasonality of dividend payments, the goods balance is likely to remain the main driver of the CA surplus, supported by ongoing tech momentum.

Review of past week's data

FKI business survey (May 27)

100=neutral reading, sa

	Mar	**Apr**	**May**	
One-month outlook	85.1	89.4	~~95.0~~	*97.0*
Current conditions	90.4	85.4	~~90.0~~	*96.1*

BoK MPC meeting (May 28)

%pa

	Feb	**Apr**	**May**
Base rate	2.50	2.50	2.50

See main text.

Industrial production (May 29)

% change

	Feb		**Mar**		**Apr**	
%oya	-2.3		~~3.6~~	*3.9*	~~0.0~~	*1.5*
%m/m, sa	~~5.4~~	*5.2*	~~0.3~~	*0.6*	~~-2.0~~	*-0.7*

See main text.

Shipments and inventories

%oya

	Feb		**Mar**		**Apr**	
Shipments	-4.4		~~3.0~~	*3.1*	~~1.4~~	*-1.3*
Inventories	~~1.6~~	*1.7*	~~-1.3~~	*-1.5*	~~-1.2~~	*-0.4*

Composite leading indicator

2020=100

	Feb		**Mar**		**Apr**	
Index	125.2		126.4		~~127.4~~	*127.5*

Service activity

% change

	Feb		**Mar**		**Apr**	
%oya	~~2.1~~	*2.2*	~~5.1~~	*5.4*	~~4.5~~	*3.5*

Consumption goods sales

% change

	Feb		**Mar**		**Apr**	
%oya	~~4.3~~	*4.2*	5.0		~~4.2~~	*1.6*
%m/m, sa	~~-0.3~~	*-0.4*	~~1.8~~	*1.9*	~~-1.3~~	*-3.6*

The monthly print was mainly due to an 11.1% drop in durable goods. The effect of the March handset launch faded, with auto sales down 6.4% after a four-month streak of gains. Semi-durable goods sales were flat, while non-durable goods declined further, fully reversing February’s rise. Notably, vehicle fuel sales fell 8.3% m/m sa – the steepest drop since 2010.

Sources: BoK, NSO, Markit, Customs office, FKI, and J.P. Morgan forecasts.

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ASEAN

- **May CPI expected to undershoot consensus forecasts in the Philippines, Indonesia, and Thailand**
- **Following a sharp upward revision to Singapore's 1Q26 GDP growth and a strong April IP beat ...**
- **… full-year GDP growth forecast raised to 4.3%oya from 3.1%**
- **Thailand's 2026 current account surplus forecast reduced to 0.4% from 1.3% of GDP**

We are closely watching CPI releases next week, where we expect headline inflation to undershoot consensus forecasts in the Philippines, Indonesia and Thailand.

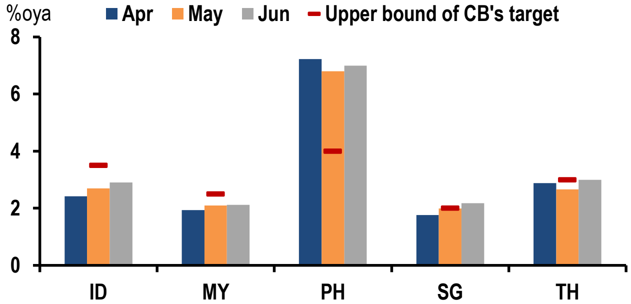
In terms of monetary policy implications, we continue to expect the BSP to hike by a total of 150bp to 6.0%, but a softer-than-expected CPI reading in May would reduce the risk of an off-cycle hike. For the BI, we maintain our forecast for two further 25bp hikes in June and July, in line with our cautious view on the currency. We continue to expect the BOT to stay on hold throughout 2026-27, given limited signs of demand-pull pressures. However, we have flagged a risk of hikes in 4Q26 from BOT's rising inflation concerns and our constructive view on the growth outlook.

May CPI preview

May CPI releases are due next Tuesday for Indonesia and Friday for the Philippines and Thailand. We expect inflation to surprise to the downside relative to consensus expectations.

In the Philippines, we expect headline inflation to drop to 6.8%oya (Consensus: 7.9%) from 7.2% (Figure 1), reflecting the pullback in transport fuel prices from elevated levels and intensifying administrative price controls in key areas (e.g., rice, electricity tariff), while core inflation should still increase to 4.3% from 3.9%, on the faster pass-through of second-round effects.

Figure 1: ASEAN - Headline CPI inflation forecast



Source: National statistical agencies, J.P. Morgan forecasts.

For Indonesia, we expect headline inflation to rise to 2.7%oya in May (Consensus: 2.9%), from 2.4% in April, as base effects normalize. We expect core inflation to remain stable at 2.4%oya (Consensus: 2.5%), as the boost from gold jewelry should dissipate further in line with the continued drop in gold prices in local currency terms.

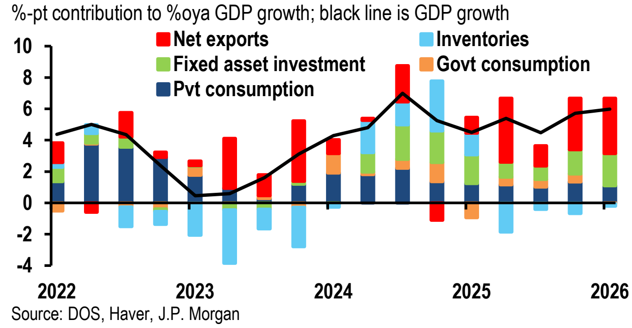
In Thailand, we expect headline inflation to ease to 2.6%oya in May (Consensus: 3.1%), from 2.9%, as fuel and raw food prices ease, and the 2% hike in electricity tariffs is negligible. We expect core inflation to rise, but only marginally to 0.9%oya (Consensus: 0.9%), from 0.8%, on rising cost-push pressures, while demand-pull remains muted.

Singapore: GDP strengthens, CPI softens

Incoming data on Singapore's activity and inflation surprised in opposite directions, with upward revisions to 1Q26 growth and a strong April IP beat contrasting with a downside surprise in the April CPI report. The final 1Q26 GDP estimates sharply lifted 1Q growth from 4.6%oya in the advance release to 6%oya (and from -1.3%q/q, saar to 3.9%ar), with broad-based upward revisions to goods and services sector growth. Boomy construction investment and net exports fuelled the solid GDP gain, in line with our view that, together with tech exports, a strong pipeline of investments will be a key pillar for Singapore's growth in 2026 (Figure 2). The April IP report also reinforced this upbeat view, with accelerating tech momentum and a stabilization in the conflict-hit chemicals sector leading us to also raise our sights on 2Q growth from 2.5%q/q, saar to 3%ar. The combined 1H26 growth revisions have lifted our full-year growth estimate back up to 4.3%oya, above the MTI forecast range of 2-4%oya.

Figure 2: Singapore GDP - demand side breakdown

%-pt contribution to %oya GDP growth; black line is GDP growth



Source: DOS, Haver, J.P. Morgan

In contrast to the encouraging growth signals, April core inflation came in weaker than expected at 1.4%oya against JPM/consensus expectations for a 1.7%oya/1.8%oya rise. Goods prices posted another strong increase (+0.3%m/m, sa), but services prices surprisingly held flat as airfares and package holidays eased despite surging jet fuel costs (Figure 3). A drop in ICT services prices further dragged down services

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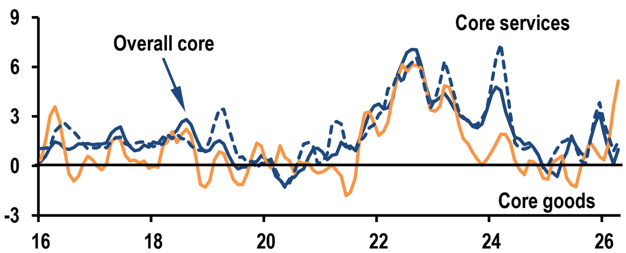
inflation. Despite the April downside surprise, however, we still see elevated energy prices lifting Singapore's core inflation to 2.1%oya this year (MAS forecast: 1.5-2.5%oya). But at these levels, we do not see core inflation warranting another MAS policy tightening in 2026, given elevated global uncertainty.

Figure 3: Singapore core CPI - goods vs services

%3m/3m, saar



Source: DOS, J.P. Morgan estimates

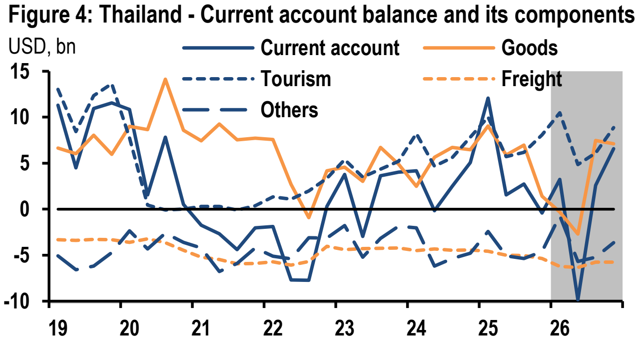
Thailand: A swing to a CAD

The current account balance swung to a large deficit of USD7.6bn in April from a USD0.6bn surplus in March, broadly consistent with data reported earlier on a record-high customs-cleared goods trade deficit and falling foreign tourist arrivals.

We have lowered our 2026 current account surplus forecast further to 0.4% of GDP from 1.3% (Consensus: 1.3%), reflecting a broad-based increase in imports ranging from surging gold demand in 1Q26, a sharp increase in fuel prices and fuel import diversification to sustained underlying investment demand. We are penciling in a large swing to a current account deficit (CAD) of USD9.9bn in 2Q26 from a surplus of USD3.2bn in 1Q26 (Figure 4).

Figure 4: Thailand - Current account balance and its components

USD, bn



Source: CEIC, J.P. Morgan.

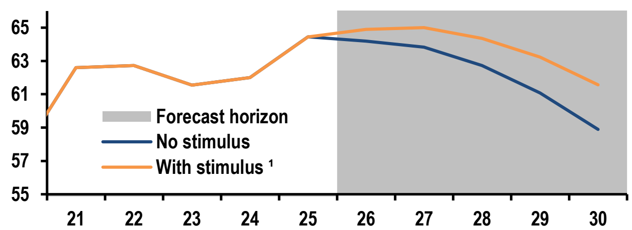
Philippines: Wider fiscal deficit in 2026/27

Last week, we published a note with the view that the government will enact a modest supplementary budget worth PHP200 billion (0.7% of GDP) in 2H26 to cushion the impact from the energy price shock. The reasons are two-fold: fiscal policy may need to do the heavy lifting to support growth when the BSP is focused on taming inflation via rate tightening, and fiscal slippages (tax revenues, interest payments, external debt servicing) from the Middle East conflict are manageable so far.

Assuming that the government proceeds with a PHP200 billion spending package and pushes out the annual deficit target by a year, we project that long-term public debt sustainability would still be intact (Figure 5). As such, we have revised higher our 2026/27 fiscal deficit forecast from 5.3%/4.8% of GDP to 6.0%/5.3% of GDP.

Figure 5: Philippines outstanding public debt

% of GDP



Source: CEIC, J.P. Morgan forecast in shaded region
1. Assume 2026 deficit rise to 6% of GDP; 2027-30 deficit target push out by a year

Indonesia

Review of past week's data

No data released.

Data releases and forecasts

Tue	Consumer prices				
02-Jun	% change				
12:00pm		Feb	Mar	Apr	May
	Total, %oya	4.8	3.5	2.4	2.7
	%m/m, sa	0.5	0.1	0.1	-0.0
Tue	Merchandise trade				
02-Jun	US$ bn, nsa				
12:00pm		Jan	Feb	Mar	Apr
	Trade balance	1.0	1.3	3.3	1.4
	Exports, %oya	3.4	1.0	-3.1	3.2
	Imports, %oya	18.2	10.8	1.5	-2.7

Malaysia

Review of past week's data

No data released.

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Data releases and forecasts

No data releases.

Philippines

Review of past week's data

No data released.

Data releases and forecasts

Fri 05-Jun 9:00am	Consumer prices % change	Feb	Mar	Apr	May
	Total, %oya	2.4	4.1	7.2	6.8
	%m/m, sa	0.4	1.6	3.0	-0.1

Singapore

Review of past week's data

Real GDP
% change

	3Q25	4Q25	1Q26	
%oya	4.5	5.7	~~4.6~~	*6.0*
%q/q, saar	7.8	5.2	~~-1.3~~	*3.9*

Consumer prices
% change

	Feb	Mar	Apr	
%oya	1.2	1.8	~~1.8~~	*1.8*
%m/m, sa	-0.1	0.6	~~0.4~~	*0.4*

Industrial production
% change

	Feb		Mar		Apr	
%oya	~~3.3~~	*3.6*	~~10.1~~	*9.2*	~~12.7~~	*17.6*
%m/m, sa	~~-1.2~~	*-1.1*	~~4.7~~	*3.5*	~~2.0~~	*5.8*

Data releases and forecasts

Tue 02-Jun 9:00pm	Purchasing managers index Index	Feb	Mar	Apr	May
	PMI	50.6	50.5	50.7	50.9
	PMI—electronics	51.3	51.4	51.7	52.0

Thailand

Review of past week's data

Manufacturing production
% change

	Feb	Mar	Apr	
%oya	-0.2	1.3	~~-2.9~~	*-0.4*
%m/m, sa	-1.9	2.3	~~-0.9~~	*0.0*

Merchandise trade
% change

	Feb	Mar	Apr	
Trade balance	-2.8	-3.3	~~-5.4~~	*-10.0*
Exports, %oya	9.9	18.7	~~18.5~~	*23.1*
Imports, %oya	31.8	35.7	~~24.7~~	*45.0*

Data releases and forecasts

Fri 05-Jun 11:30am	Consumer prices % change	Feb	Mar	Apr	May
	Total, %oya	-0.9	-0.1	2.9	2.7
	%m/m, sa	-0.3	0.7	2.3	-0.1

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India

- **RBI expected to stay on hold next week**
- **We expect 1Q26 GDP growth to print at 7.5%**
- **High-frequency data show pickup in petroleum imports**

The RBI is expected to stay on hold at next week's policy review, signaling that, while it remains vigilant, it will respond if it sees signs of CPI getting entrenched. While the RBI's inflation forecast for 2026-27 is likely to be revised higher due to El Niño risks, the MPC is likely to highlight that inflation uncertainty remains elevated. GDP growth is expected to remain strong in 1Q26, as reflected in indicators such as credit growth, auto sales and excess GST collections, with the impact of the Middle East crisis expected to show up from 2Q26 onward.

RBI expected to remain on hold

We expect the MPC to keep policy rates on hold at next week's Monetary Policy Review, reinforcing its "wait-and-watch" approach and signaling that it would act only if second-round effects on inflation begin to materialize. As noted in the previous meeting and in the minutes, the MPC emphasized that monetary policy has limited ability to counter the direct impact of a supply-driven inflation shock; it becomes operationally relevant only once second-round effects are evident. We expect the MPC to reiterate this message.

With the probability of El Niño rising, the RBI may incorporate some impact into its inflation forecast for 2026-27. The extant forecast for inflation in 2026-27 is 4.6%, and the RBI has previously estimated that El Niño could raise inflation by about 40 bps. The Met Department's second forecast projected rainfall at 10% below normal this monsoon season. We expect inflation to average 5% in FY27, incorporating the moderate El Niño impact.

Notably, while food inflation faces upside risks if there is a "super El Niño," there is a wide band of uncertainty around how weather patterns will evolve. Large buffer stocks could also help moderate pressures on food prices stemming from El Niño-related disruptions. Moreover, there have been instances—such as 2015, another "super El Niño" year—when food inflation remained contained.

On growth, the MPC is likely to note that activity so far has not seen any material impact from the Middle East crisis. However, it could acknowledge downside risks to its FY27 GDP growth forecast (6.9%) if oil prices remain elevated.

Importantly, given the recent weakness in the currency, the RBI is likely to reiterate the "separability" principle under the inflation-targeting regime: Policy rates are used to manage growth-inflation dynamics, while FX volatility is addressed through FX reserves and other regulatory measures. Since the adoption of the inflation-targeting framework in 2014, the RBI has remained consistent with this separability principle.

1Q26 growth expected to remain strong

We forecast 1Q26 GDP growth of 7.5%oya, slightly lower than 7.8% in 4Q25. This is higher than the statistical office's second advance estimate of 7.3%. If our forecast is correct, it would imply full-year FY26 growth of 7.7% vs. the statistical office's forecast of 7.6%.

Across sectors, services growth is expected to remain strong, supported by a continued acceleration of credit growth and higher GST collections. In contrast, manufacturing growth is likely to be more subdued, reflecting softer earnings growth. Notably, the weakness in manufacturing earnings is driven largely by the petroleum sector. Excluding petroleum, manufacturing earnings growth accelerated in 4QFY25, in line with the broader pickup in overall earnings growth.

Importantly, 1Q26 included a one-month drag from higher oil prices. However, this is unlikely to show up in the GDP data, as the impact was absorbed by the government's oil marketing companies, while retail pump prices remained unchanged.

That said, the margin of error around our GDP forecast is high. First, we have built our estimate using the old IIP series, whereas the GDP release will incorporate the new IIP series expected to be released on Monday. Second, this will be only the second data release under the new GDP series, which includes several methodological improvements—particularly around deflators—and there remains uncertainty about how these deflators will behave.

More broadly, while 1Q26 should print as robust growth, it is largely backward-looking. From 2Q26, growth is likely to begin reflecting the impact of the Middle East crisis.

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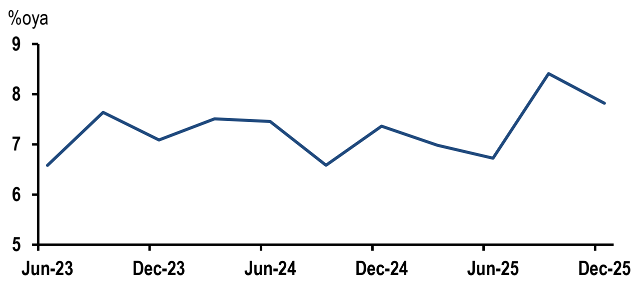
Figure 1: Real GDP

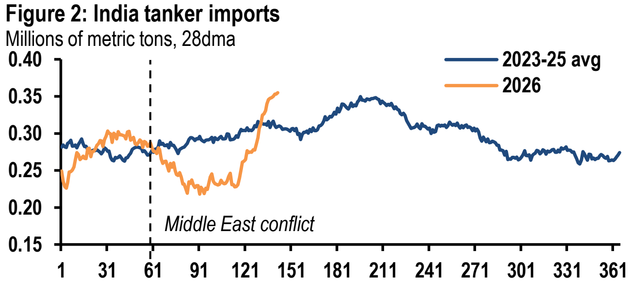


Source:MoSPI, J.P. Morgan

Tanker import data shows recovery

Daily tanker-tracking data indicate that India's tanker imports rebounded sharply in May. Volumes, which averaged about 0.3 MMT/day before the Middle East conflict, slipped to roughly 0.2 MMT/day in March-April, but have since risen above pre-conflict levels (Figure 2), suggesting efforts by India to diversify petroleum imports.

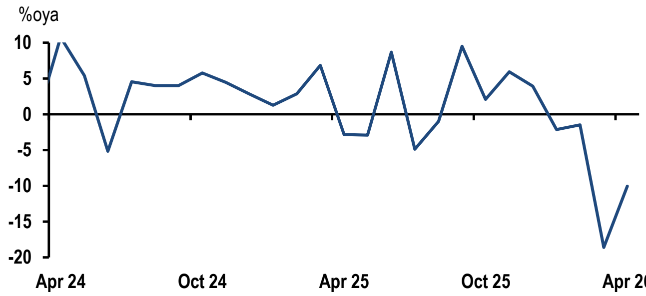
Figure 2: India tanker imports



Source: IMF Portwatch, J.P. Morgan

The Petroleum Planning & Analysis Cell (PPAC) data show total crude and petroleum product volumes improving from -16%oya in March to -9%oya in April, with scope for further normalization in May if the daily tanker data are indicative (Figure 3). By product, the recovery has been driven by crude oil, which has improved materially from -17%oya to -4%oya. In contrast, LPG imports have not shown a rebound, remaining around -56%oya, broadly unchanged from March. That said, the impact on activity due to lower LPG imports was partly cushioned by stronger domestic production, which accelerated from 5%oya in February to 29% in March and 33% in April.

Figure 3: Petroleum import volumes



Source: PPAC

Data releases and forecasts

Week of June 1-5

Fri	**GDP**				
5-Jun	%				
		2Q25	**3Q25**	**4Q25**	**1Q26**
	% oya	6.7	8	7.8	7.5

See main text.

Fri	**Repo rate**				
5-Jun	%				
		Dec	**Feb**	**Apr**	**Jun**
	Repo rate	5.25	5.25	5.25	5.25

See main text.

Mon	**Industrial Production**				
1-Jun	% oya				
		Jan	**Feb**	**Mar**	**Apr**
	% oya	5.1	5.1	4.1	4.0

We expect industrial production to rise 4%oya in April, broadly unchanged from March. However, sequential momentum is likely to soften, led by mining, consistent with weaker coal output in core IP.

That said, this forecast is based on the old IP series, though a new series with methodological changes will be released next week.

Review of past week's data

No data releases.

Sources: MoSPI, RBI, J.P. Morgan

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Japan economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
1 Jun **MoF corporate survey** (8:50am) 1Q 5.5 %oya **PMI manufacturing final** (9:30am) May	**2 Jun** Auction 10-year note	**3 Jun** **PMI services final** (9:30am) May Speech by Governor UEDA at the Kisaragi-kai Meeting (5:30pm)	**4 Jun**	**5 Jun** **Employers' survey** (8:30am) Apr wage 2.7 %oya **All household spending** (8:30am) Apr **Coincident CI prelim** (2:00pm) Apr **Consumption activity index** (2:00pm) Apr Auction 3-month bill
8 Jun **GDP 2nd** (8:50am) 1Q **Bank lending** (8:50am) May **Current account** (8:50am) Apr **Economy watchers survey** (2:00pm) May	**9 Jun** **M2** (8:50am) May Auction 6-month bill	**10 Jun** **Corporate goods prices** (8:50am) May Auction 30-year note	**11 Jun** **Business outlook survey** (8:50am) 2Q	**12 Jun** **IP final** (1:30pm) Apr Auction 3-month bill
15 Jun **Tertiary sector activity index** (1:30pm) Apr BoJ Monetary Policy Meeting	**16 Jun** BoJ Monetary Policy Meeting BoJ Governor Ueda's press conference (3:30pm)	**17 Jun** **Trade balance** (8:50am) May **Private machinery orders** (8:50am) Apr	**18 Jun** **Real exports and imports** (2:00pm) May Auction 1-year note	**19 Jun** **Nationwide core CPI** (8:30am) May Minutes of Apr 27-28 BoJ Monetary Policy Meeting (8:50am) Auction 3-month bill
During the week: Nationwide department store sales (16-22 Jun)				
22 Jun	**23 Jun** **PMI manufacturing prelim** (9:30am) Jun **PMI services prelim** (9:30am) Jun Auction 5-year note	**24 Jun** **Corporate service prices** (8:50am) May	**25 Jun** **Coincident CI final** (2:00pm) Apr Auction 20-year note	**26 Jun** **Tokyo core CPI** (8:30am) Jun Auction 3-month bill

Note: Times shown are local. Source: Private and public agencies and J.P. Morgan. Further details available upon request.

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Non-Japan Asia economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
1 Jun **South Korea** Trade balance (9:00am) May US$23.0bn PMI mfg. (9:30am) May 53.5 **Taiwan** PMI mfg. (8:30am) May 53.0 **Australia** ANZ job advertisements (11:30am) May **China** PMI Mfg. (9:45am) May 51.0 **India** PMI mfg. final (10:30am) May IP (4:00pm) Apr 4.0%oya *Holiday: Indonesia, Malaysia, Thailand*	**2 Jun** **South Korea** CPI (8:00am) May 3.0%oya **Australia** Building approvals (11:30am) Apr -3.0%m/m, sa Current account balance1Q A$-23bn Company operating profit 1Q Inventories (11:30am) 1Q **Indonesia** Trade balance (11:00am) Apr US$1.4bn CPI (11:00am) May 2.7%oya **Hong Kong** Retail sales (4:30pm) Apr 9.4%oya **Singapore** PMI (9:00pm) May 50.9 *Holiday: Malaysia*	**3 Jun** **New Zealand** Terms of trade (10:45am) 1Q Building permits (10:45am) May **Australia** GDP (11:30am) 1Q 0.5%q/q, sa **Vietnam** Exports (9:05am) May Industrial output (9:05am) May CPI (9:05am) May **Hong Kong** PMI May 50.3 *Holiday: Thailand*	**4 Jun** **New Zealand** ANZ commodity price (1:00pm) May **Australia** Trade balance (11:30am) Apr A$3.0bn	**5 Jun** **South Korea** Current account balance (8:00am) May US$29.0bn **Philippines** CPI (9:00am) May 6.8%oya **Thailand** CPI (10:30am) May 2.7%oya **India** RBI monetary policy meeting no change GDP (4:00pm) 1Q 7.5%oya **Taiwan** CPI (4:00pm) May 2.1%oya
During the week: China PMI mfg. (NBS) May (31 May) 50.1 India BoP 1Q (1-9 Jun) China Foreign Exchange Reserves May (7 Jun)				
8 Jun	**9 Jun** **New Zealand** Manufacturing output 1Q **South Korea** GDP prelim (8:00am) 1Q **Taiwan** Trade balance (4:00pm) May **China** Trade balance May	**10 Jun** **China** PPI (9:30am) May CPI (9:30am) May	**11 Jun** **South Korea** Unemployment rate (8:00am) May	**12 Jun** **New Zealand** Business NZ PMI (10:30am) May **India** CPI (4:00pm) May *Holiday: Philippines*
During the week: China Money supply/TSF May (9-15 Jun)				
15 Jun **India** WPI (12:00pm) May Trade balance May	**16 Jun** **South Korea** Export price index (6:00am) May Import price index (6:00am) May Money supply (12:00pm) Apr **China** IP (10:00am) May FAI (10:00am) May Retail sales (10:00am) May **Hong Kong** Unemployment rate (4:30pm) May *Holiday: Indonesia*	**17 Jun** **New Zealand** Current account balance (10:45am) 1Q **Singapore** NODX (8:30am) May *Holiday: Malaysia*	**18 Jun** **New Zealand** GDP (10:45am) 1Q **Philippines** BSP monetary policy meeting **Indonesia** BI monetary policy meeting **Taiwan** CBC monetary policy meeting	**19 Jun** **South Korea** PPI (6:00am) May **New Zealand** Trade balance (10:45am) May **Malaysia** CPI (12:00pm) May Trade balance (12:00pm) May *Holiday: China, Hong Kong, Taiwan*
During the week: Thailand Trade balance May (21-26 Jun)				
22 Jun	**23 Jun** **South Korea** Consumer survey (6:00am) Jun **Singapore** CPI (1:00pm) May **India** PMI mfg. (10:30am) **Taiwan** Export orders (4:00pm) May Unemployment rate (4:00pm) May **Hong Kong** CPI (4:30pm) May	**24 Jun** **Thailand** BOT monetary policy meeting **Taiwan** IP (4:00pm) May	**25 Jun** **Australia** Unemployment rate (11:30am) May **Hong Kong** Trade balance (4:30pm) May	**26 Jun** **Singapore** IP (1:00pm) May *Holiday: India*
During the week: Thailand Mfg. Production May (27-29 Jun)				

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